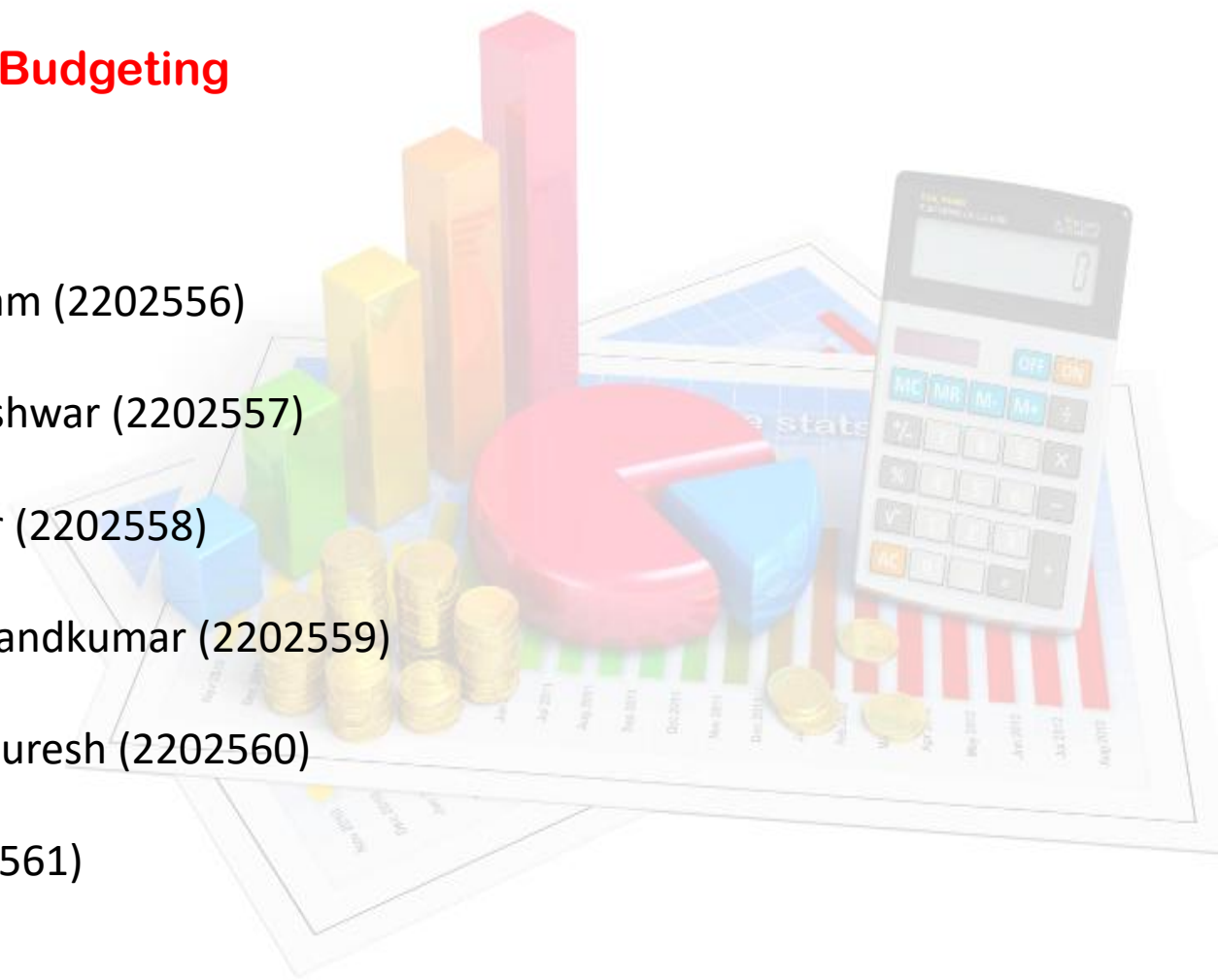


Fundamentals of Management

Concept of Capital Budgeting

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Introduction

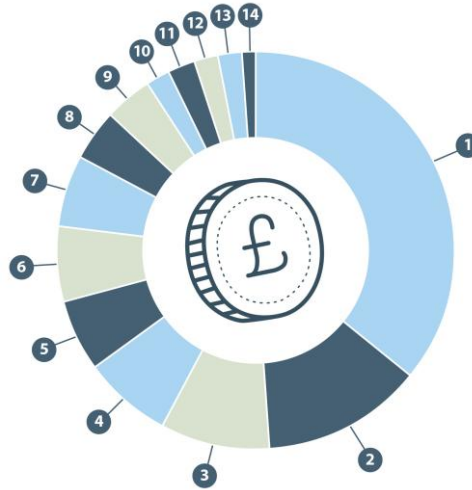
- Capital budgeting deals with long-term investment decisions.
- It helps decide whether a project is financially beneficial.
- Used by companies for expansion and development.

Objectives

- Maximize returns
- Ensure efficient capital allocation
- Evaluate future profits
- Improve business efficiency

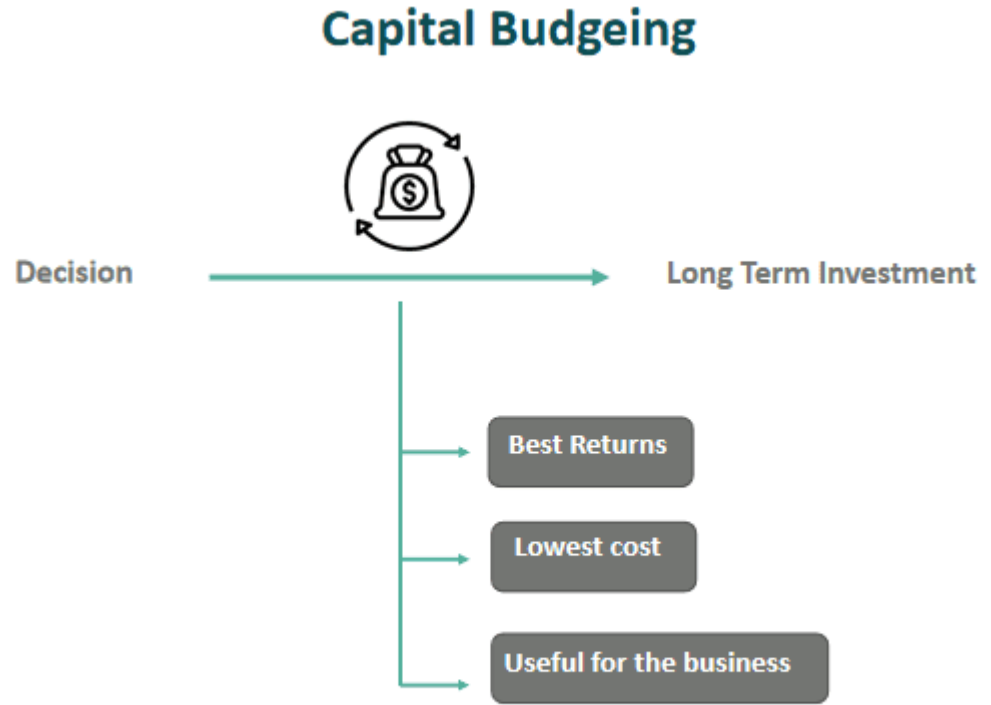
Meaning / Definition

- Capital budgeting is the **process of planning and selecting long-term investments**.
- It evaluates future cash inflows and outflows before investing.



Features

- Involves **large investment**
- Long-term impact
- Future cash flow estimation
- Risk and uncertainty involved
- Difficult to reverse decisions



Importance

- Helps in selecting profitable projects
- Supports long-term growth
- Reduces investment risk
- Ensures proper use of funds

Types of Capital Budgeting Decisions

- Expansion decisions
- Replacement of old machines
- New product launch
- Cost reduction projects
- Research & development

Steps in Capital Budgeting

1. Find investment ideas
2. Check which ideas are suitable
3. Estimate future cash inflows and outflows
4. Evaluate the project using financial methods
5. Choose the best project
6. Implement the project
7. Review the results

Example

Investment: ₹40,000

Annual Cash Inflow: ₹10,000

Payback Period = $40,000 \div 10,000 = 4$ years

Project will recover its cost in **4 years**.

Conclusion

Capital budgeting is essential for choosing good long-term investments.

It helps companies grow, reduce risks, and improve financial planning.

THANK YOU!